May 29, 2024

The South Park Jinx

Not a bad time to lighten up on GLP-1 exposure. It's all priced in. Also: Watch JGBs.

Current Views

Flat

Midjourney imagines a photograph of Kenny from South Park

Before we get started today, an announcement:

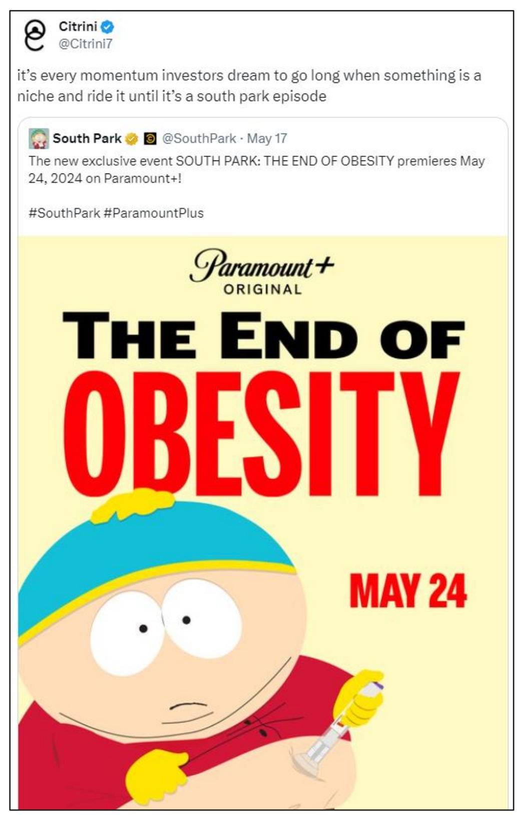
After one year under construction, our flagship course, **Think Like a Market Professional**, is now live. Spectra School has launched!

Get the tools and practical frameworks you need to understand markets in the real world. Course info, syllabus, and FAQ on the website.

[Check out the video for a quick run-through.](#) The course is perfect for traders, sell-side analysts, wealth managers, RIAs, finance students, econ grads, central bankers, and anyone outside finance who want to learn how markets operate in the real world. **www.spectramarkets.com/school**

*Also! If you would like to roll out **"Think Like a Market Professional"** inside your organization, please contact me directly (email, Bloomberg chat, or phone) and we can set something up! **Corporate packages available.***

The South Park Jinx



Citrini Research, an excellent follow on Twitter, posted the tweet at right the other day. Sol pointed me to it. The tweet is funny because it's true. South Park has a 20+-year history of capturing the cultural zeitgeist and it's impossible to argue that anything that is lampooned on South Park is not priced in.

That got me thinking… Is there a possible market signal when a company is featured on the show? The logic would be similar to the Magazine Cover Indicator, or The Madden Jinx. By definition, anything featured is well-known and at risk of mean reversion after massive outperformance.

It is difficult, but not impossible, to isolate every corporate mention inside the 328 episodes of South Park that have run since the August 13, 1997, airing of "Cartman Gets an ____ Probe". I used various websites and Google and AI to do the best I could. I do not promise the list is 100% complete, but I do promise that I did not cherry-pick episodes with the intention of delivering a particular (i.e., contrarian) verdict. I only included shows where:

a) The company is publicly traded in the United States.
b) The company features prominently in the episode. In other words, if Burger King was in the background a few times, I didn't put that in my list. In contrast, while Walgreen's is not the topic of the March 2021 COVID vaccine episode, it features prominently.

Here is the big fat table of all the episodes, companies, and ticker symbols.

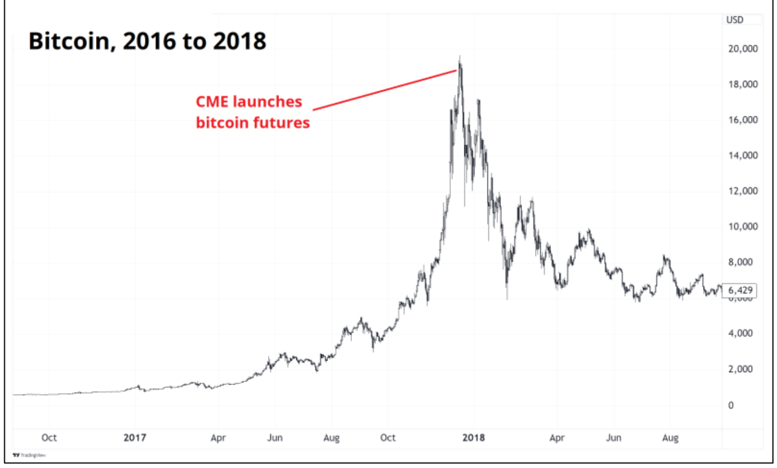
					Performance minus SPX		
Date	**South Park Episode**	**Topic**	**Trade**	**Ticker**	**3m later**	**6m later**	**1 year later**
5/24/2024	**The End of Obesity**	**Ozempic**	**Novo Nordisk**	**NVO US**			
10/27/2023	Joining the Panderverse	Woke Disney	Disney	DIS US	1.1%	19.8%	
3/8/2023	Deep Learning	ChatGPT	Microsoft	MSFT US	23.9%	18.5%	31.7%
6/1/2022	The Streaming Wars	Streaming	Netflix	NFLX US	15.0%	46.1%	101.2%
6/1/2022	The Streaming Wars	Streaming	Disney	DIS US	4.3%	-9.9%	-22.6%
3/10/2021	South ParQ Vaccination Special	Vaccines	Pfizer	PFE US	3.5%	18.8%	32.6%
3/10/2021	South ParQ Vaccination Special	Vaccines	Walgreens	WBA US	1.6%	-12.0%	-11.3%
9/30/2020	The Pandemic Special	COVID	Disney	DIS US	32.3%	31.5%	8.3%
9/25/2019	Mexican Joker	MedMen visit Tegridy Farms	MedMen	MMEN US	-74.6%	-69.0%	-99.8%
12/4/2019	Basic Cable	Cable vs. streaming	Comcast	CMCSA US	-1.9%	-7.3%	-0.1%
12/5/2018	Unfulfilled	Amazon comes to South Park	Amazon	AMZN US	0.1%	-0.4%	-9.3%
10/17/2018	Tegridy Farms	Weed	Tilray	TLRY US	-36.8%	-70.1%	-91.4%
10/18/2017	Hummels and Heroin	Opioids	Mallinkrodt	MNK US	-40.1%	-63.3%	-28.3%
10/11/2017	Franchise Prequel	Fake news	Facebook	META US	1.4%	-12.3%	-17.8%
10/21/2015	Safe Space	Twitter bullying	Twitter	TWTR US	-35.9%	-44.6%	-48.0%
10/14/2015	You're Not Yelping	Cartman reviews restaurants	Yelp	YELP US	8.4%	-16.2%	60.4%
11/20/2013	A Song of Ass and Fire	Playstation 4 etc.	Microsoft	MSFT US	-1.5%	3.0%	17.2%
11/13/2013	Black Friday	Sony Playstation mania	Sony	SONY US	-5.7%	-8.2%	0.6%
11/13/2013	Black Friday	Sony Playstation mania	Microsoft	MSFT US	-2.6%	0.5%	18.6%
10/2/2013	Informative CENSORED	Cable company runaround	Time Warner	TWX US	-4.0%	-12.8%	0.2%
3/21/2012	Cash for Gold	Cartman launches a shopping channel	Liberty Media	QRTEA US	-10.1%	6.4%	16.1%
5/25/2011	Crack Baby Athletic Association	Sports Video Games	Electronic Arts	EA US	-0.7%	3.0%	-39.0%
5/18/2011	T.M.I.	Fedex Shipping offices get taken over	FedEx	FDX US	-3.5%	-7.0%	-4.8%
12/8/2004	Cartman's Incredible Gift	KFC weirdness	Yum Brands	YUM US	7.1%	11.0%	-1.6%
12/1/2004	CENSORED	Paris Hilton and the objectification of women	Mattel	MAT US	8.9%	-3.9%	-20.4%
11/3/2004	Something Wall-Mart This Way Comes	Wall-Mart comes to South Park	Walmart	WMT US	-9.2%	-15.5%	-21.3%
3/24/2004	Up the Down Steroid	Steroids	Teva	TEVA US	6.7%	-14.7%	-8.4%
4/19/2000	Timmy 2000	Ritalin	Novartis	NVS US	6.0%	14.9%	30.4%
4/14/1999	Spontaneous Combustion	Viagra	Pfizer	PFE US	-28.3%	-17.2%	-27.0%
12/16/1998	Gnomes	Harbucks comes to South Park	Starbucks	SBUX US	5.5%	24.3%	-24.1%
				Average	**-4%**	**-6%**	**-6%**
				Median	**0%**	**-7%**	**-7%**
				Win%	**52%**	**41%**	**39%**

Similar to The Economist, South Park is a contrarian indicator as it's rare for a company to appear prominently in the show, and if it does, that's probably a sign that the company is front-and-center in the current zeitgeist. **One year after appearing on South Park, the median stock underperforms the S&P 500 by 7%.**

I would also note that new product releases and sector and strategy ETFs can often be a reverse indicator. The logic is that a trend has to be in place for a long time and it has to be extremely popular before a financial company will conclude that a new product to monetize the trend via retail will gain enough assets to be worthwhile.

Some salient ones that I remember are the launch of the Deutsche FX carry ETF in late 2006 before carry crashed in 2007, the bitcoin futures ETF at the peak of the 2017 crypto mania, and the bearish NOPE ETF launched three weeks before stocks bottomed in October 2022.

I mention this because... Oooh baby... Look what we have here:



Roundhill Investments Launches GLP-1 & Weight Loss ETF (OZEM)

NEWS PROVIDED BY
Roundhill Investments →
May 21, 2024, 09:00 ET

OZEM provides exposure to the rapidly growing weight loss management market, which is expected to reach $100 billion by 2030.

NEW YORK, May 21, 2024 /PRNewswire/ -- Roundhill Investments, an ETF sponsor focused on innovative financial products, is pleased to announce the launch of the Roundhill GLP-1 & Weight Loss ETF (OZEM), which began trading on Nasdaq today. OZEM is the world's first ETF focused exclusively on the rapidly growing sector of GLP-1 receptor agonists and other weight management drugs.

Caveat emptor. **Not a bad time to lighten up on the GLP-1 basket. It's all priced in.**

Windowmaker No More

JGB yields are zipping higher and higher every day. While US yields are way below their 2023 highs, Japanese yields continue to soar.

I am surprised Team Japan (GPIF, Kampo, etc.) have not started a massive rotation back into JGBs.

Final Thoughts

If you are interested in a corporate package for Spectra School, please contact me directly via Bloomberg or email. My dream is that "Think Like a Market Professional" will become the industry-standard training course for everyone coming into markets. If you run an analyst program at a bank, or know someone who does, this is the ideal product for your peeps. FAQs are here. **Check out the video here.**

Think Like a Market Professional is perfect for traders, sell-side analysts, wealth managers, RIAs, finance students, econ grads, and anyone outside finance who would like to learn how markets operate in the real world.

Finally, the Wikipedia page on regression to the mean is a good read.

Thanks very much, M'kay?

good luck ⇅ be nimble

Midjourney AI imagines Stan from South Park.

Midjourney AI imagines “Kenny from South Park, realistic photo, hood down”.

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